My Investment Portfolio

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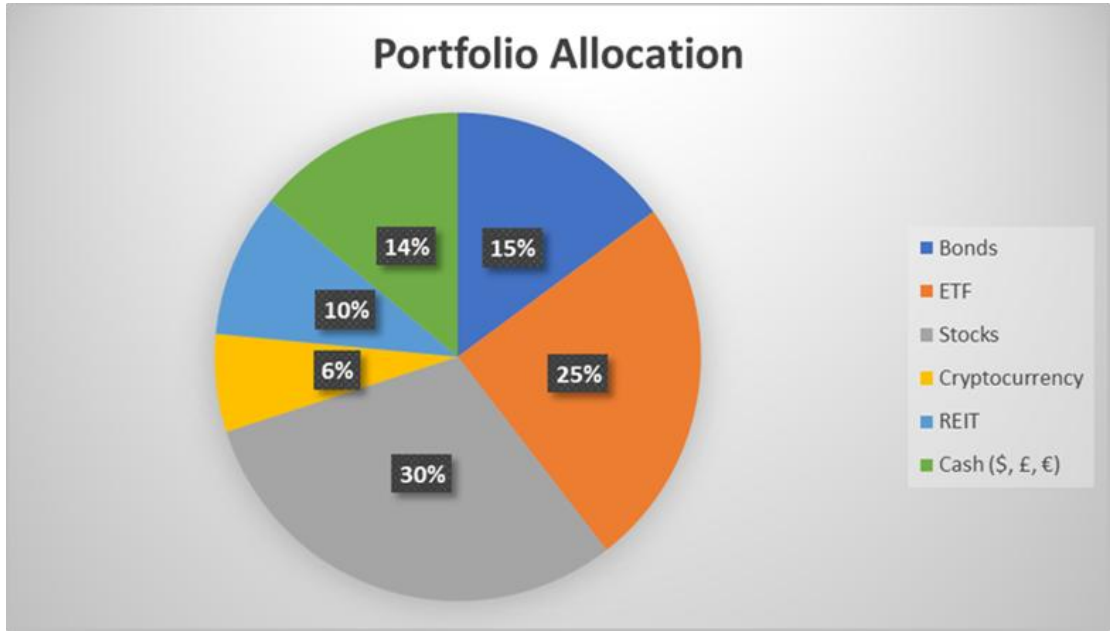
Building the Initial Portfolio

- ❑ I set my risk and return objectives at the beginning to being an Annualised ER of >8%, and a SD of <10%.
- ❑ With this goal, I intended for efficient and stable growth over time.

How I intended to achieve this :

- ❑ Diversification (spread risk across many asset classes, to ensure any events don't have a serious effects on the portfolio)



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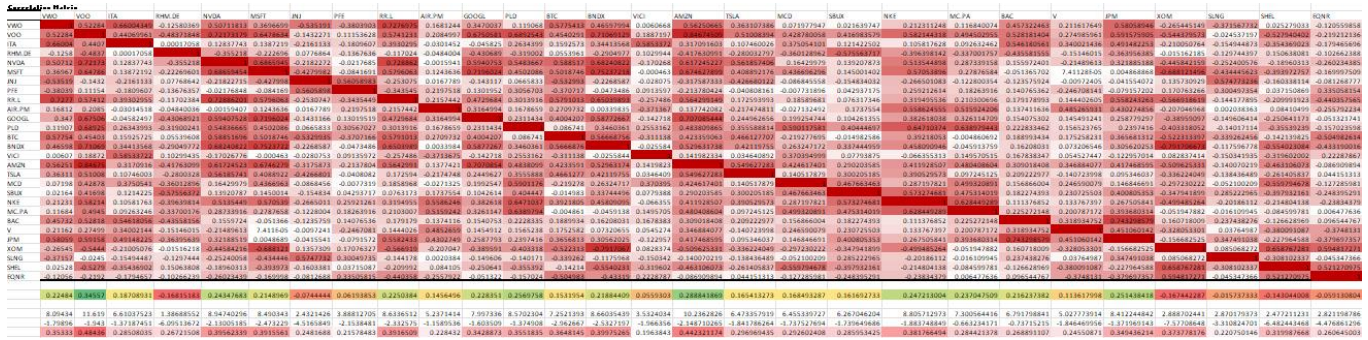

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- ❑ Balance risk and reward (avoid short-term volatility and maintain a long-term vision)

Initial Allocation

Screening : Chose 32 assets from a variety of sectors (most are market leaders in their asset class or sector, others through random selection)

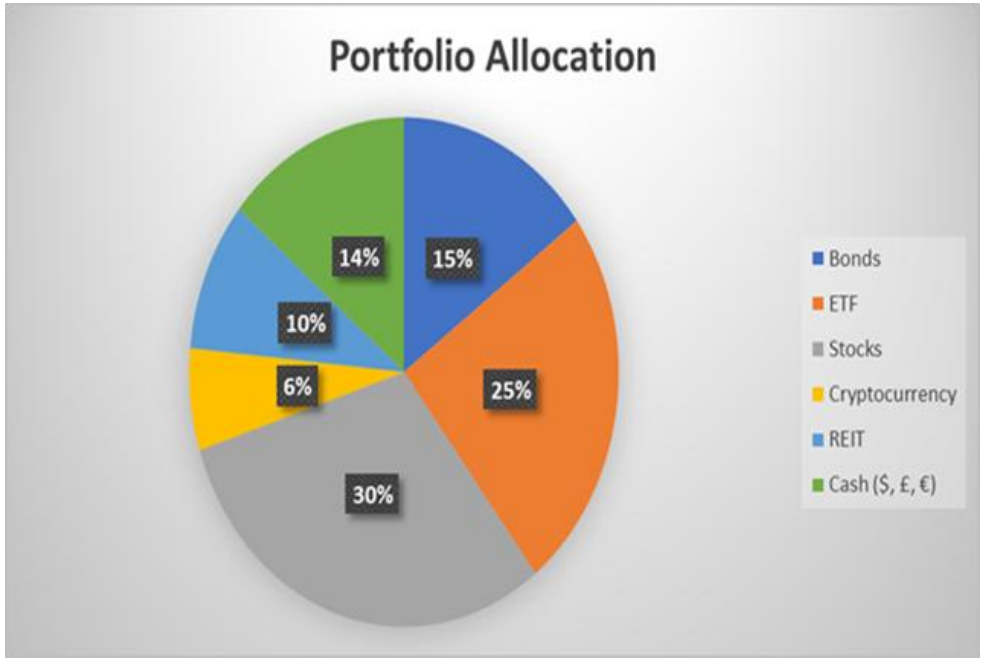
Data collection : Using quarterly data over 5 years, analysed these assets through a variance-covariance matrix and a correlation matrix.

Filtering : To ensure optimal diversification and minimal correlation, I removed stocks with high correlation (Amazon), stocks with not enough historical data (Nebius), the Healthcare sector as a whole due to the uncertainty at the time in the US over new regulations and stocks of sectors that would be over-represented with the inclusion of the ETFs that would be included, such as the Technology (Nvidia), Industrials (Airbus), and Financial sectors.

BNDX	Vanguard Total International Bond Index Fu	Bond ETF
GOOGL	Alphabet Inc.	Communication Service
NBIS	Nebius Group N.V.	Communication Service
TSLA	Tesla, Inc.	Consumer Cyclical
SBUX	Starbucks Corporation	Consumer Cyclical
AMZN	Amazon.com, inc.	Consumer Cyclical
MCD	McDonald's Corporation	Consumer Cyclical
MC.PA	LVMH Moët Hennessy - Louis Vuitton, Sociét	Consumer Cyclical
NKE	Nike, Inc.	Consumer Cyclical
BTC	Bitcoin USD	Cryptocurrency
XOM	Exxon Mobil Corporation	Energy
SLNG	Stabilis Solutions, Inc.	Energy
CRGY	Crescent Energy Company	Energy
SHEL	Shell plc	Energy
EQNR	Equinor ASA	Energy
VWO	Vanguard Emerging Markets Stock Index Fur	ETF
NATO.L	Future of Defense UCITS ETF	ETF
ITA	iShares U.S. Aerospace & Defense ETF	ETF
VOO	Vanguard S&P 500 ETF	ETF
BAC	Bank of America Corporation	Financial Services
JPM	JPMorgan Chase & Co. (JPM)	Financial Services
V	Visa, Inc.	Financial Services
RHM.DE	Rheinmetal AG	Industrials
AIR.PA	Airbus SE	Industrials
RR.L	Rolls-Royce Holdings plc	Industrials
PLD	Prologis	Real Estate
VICI	Vici Properties Inc.	Real Estate
NVDA	NVIDIA Corporation	Technology
MSTR	Strategy Incorporated	Technology
MSFT	Microsoft Corporation	Technology
JNJ	Johnson & Johnson	Healthcare
PFE	Pfizer inc.	Healthcare

Initial Allocation

- The initial portfolio was divided across 19 assets and 3 different currencies (USD, EUR and GBP).
- 30% Stocks – Heavily diversified across 11 stocks in 5 sectors in Europe and the US. Chosen based upon optimal correlation levels and diversity among markets.
- 25% ETFs – Vanguard S&P500 was by far the largest weighting of any asset with close to 18%, due to the broad exposure to the US market. ETFs on the US industrials market, emerging markets from Asia and mid-sized companies from the EU were also included to capture growth opportunities.
- 15% Bonds – Vanguard Total International Bond ETF (BNDX) was included in the portfolio as a globally diversified, USD hedged bond ETF to reduce overall volatility and provide stable consistent returns.
- 14% Cash – 75% of which is USD, but holdings of EUR and GBP included to act against exchange rate risk. Quite high initial holdings of cash, as further investment is planned based on market conditions.
- 10% REITS - included in the portfolio to provide exposure to real assets, offer potential protection against inflation, and enhance diversification despite their slightly higher volatility.
- 6% Cryptocurrency - BTC was included as a small, high risk high reward allocation to have exposure on the growing cryptocurrency market while limiting its impact on overall portfolio volatility.
- *Even without directly including technology based assets the total weight of technology sector in the initial portfolio was still 22%.*

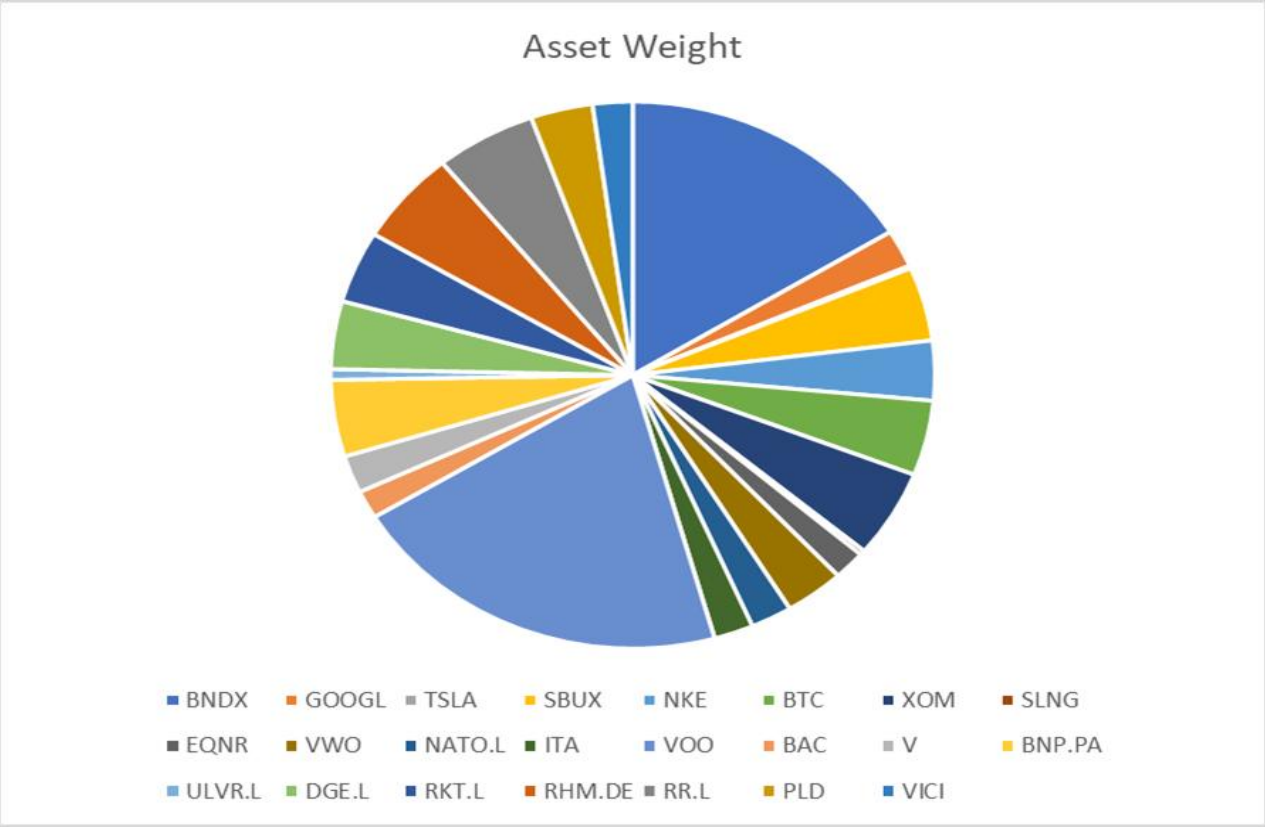


Sum of weight	0.96247
Portfolio Expected return	18.04%
Portfolio Standard Deviation	12.35%
Expected Sharp ratio	1.37

Transactions

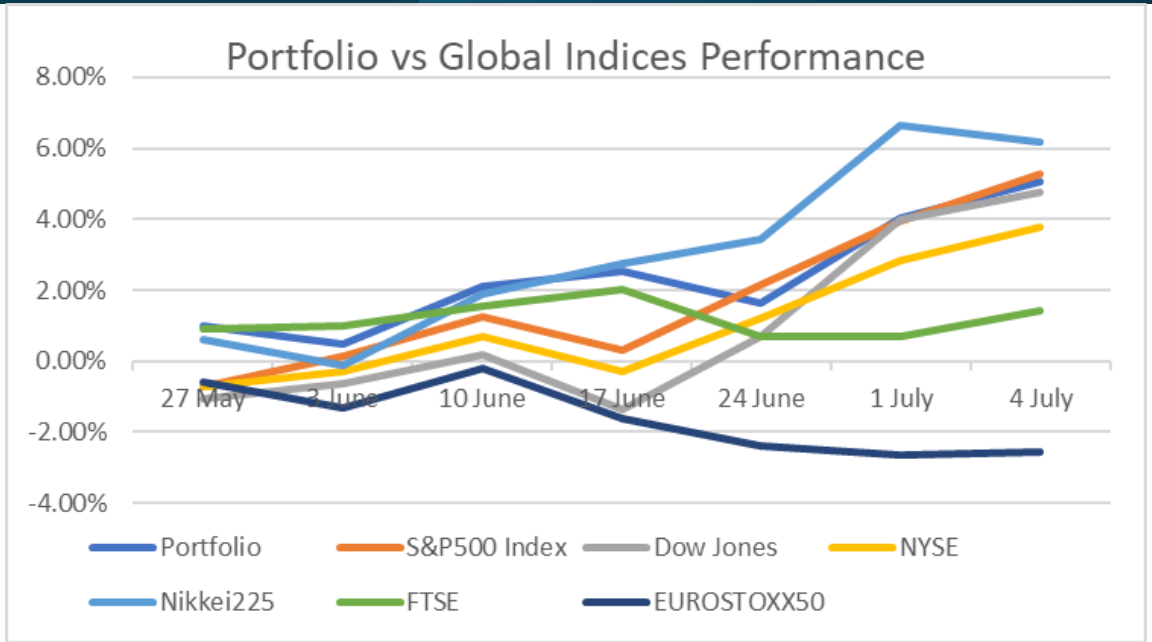
- From the commencement of the portfolio, I've made transactions on 4 separate dates selling ~$15,000 and buying ~$20,000 worth of assets during this time. The main target was to reduce the SD, rebalance exposure weightings and have optimal correlation and diversity levels.
- May 28th – sold 0.01 BTC (~$1000) and bought 15 BNDX (~$750) to reduce volatility (SD) and increase the stability.
- June 3rd – bought shares in 4 new European assets (Financial and Consumer sectors) to improve diversification. Sold about 70% of shares in TSLA and GOOGL and another 0.01 BTC to further reduce the standard deviation and exposure tech driven assets and bring it below the target sd of <10%.
- June 10th – sold 10% of RHM.DE, and 40% of SBUX to rebalance portfolio allocation, and these stocks proved to be the best options to sell (these assets had appreciated).
- June 24th – After the guest speaker lecture I made some changes that reflected a real investors approach. Selling ~60% of PLD, and buying NKE, V, SBUX, RR.L and VOO to maintain ER and SD levels, and to ensure that all stocks are below 5% weight.

Transactions



Results – Market Performance

- Final Portfolio Value: $105,053.26 (+5.05%)
- S&P 500: +5.30%
- Dow Jones: +4.76%
- Nikkei 225: +6.17%
- EUROSTOXX 50: –2.56%
- FTSE 100: +1.42%
- NYSE: +3.76%



- My initial portfolio goals weren't necessarily met, with the Sharpe ratio also floating between 1 and 1.5. The constant rebalancing of the portfolio made it difficult to keep my targets, and maintain a high Sharpe ratio.

Sum of weight	0.98
Portfolio Expected return	16.18%
Portfolio Standard Deviat	11.14%
Expected Sharpe ratio	1.07

Results – Asset Performance - Losers

- The portfolio was heavily influenced by worldwide geopolitical (Middle East and Ukraine) and economic (US tariffs) tensions.
- Underperformers :

- Stabilis Solutions, (-20%), only had ~0.3% allocation throughout, small-cap company that posed high risk high reward.

- Diageo and Unilever, (~-2%), new additions added to diversify and reduce risk ended up underperforming due to unfavourable consumer markets in Europe.

- PLD, (-3%), large focus on US warehouse real estate investments took a hit due to the announcement of tariffs, reducing trade stability significantly.

- TSLA (-2%), very high volatility, largely due to Elon Musk social media presence and factors effecting the EV market.

Results – Asset Performance - Winners

- Top Performers :

  - Industrials sector (NATO.L, ITA, RHM, RR), all made gains between 5-15% mainly due to increased defense expenditure by the EU and NATO.

  - EUR (5%) and GBP (2%) made gains on the USD, showing that investor confidence has shifted towards Europe.

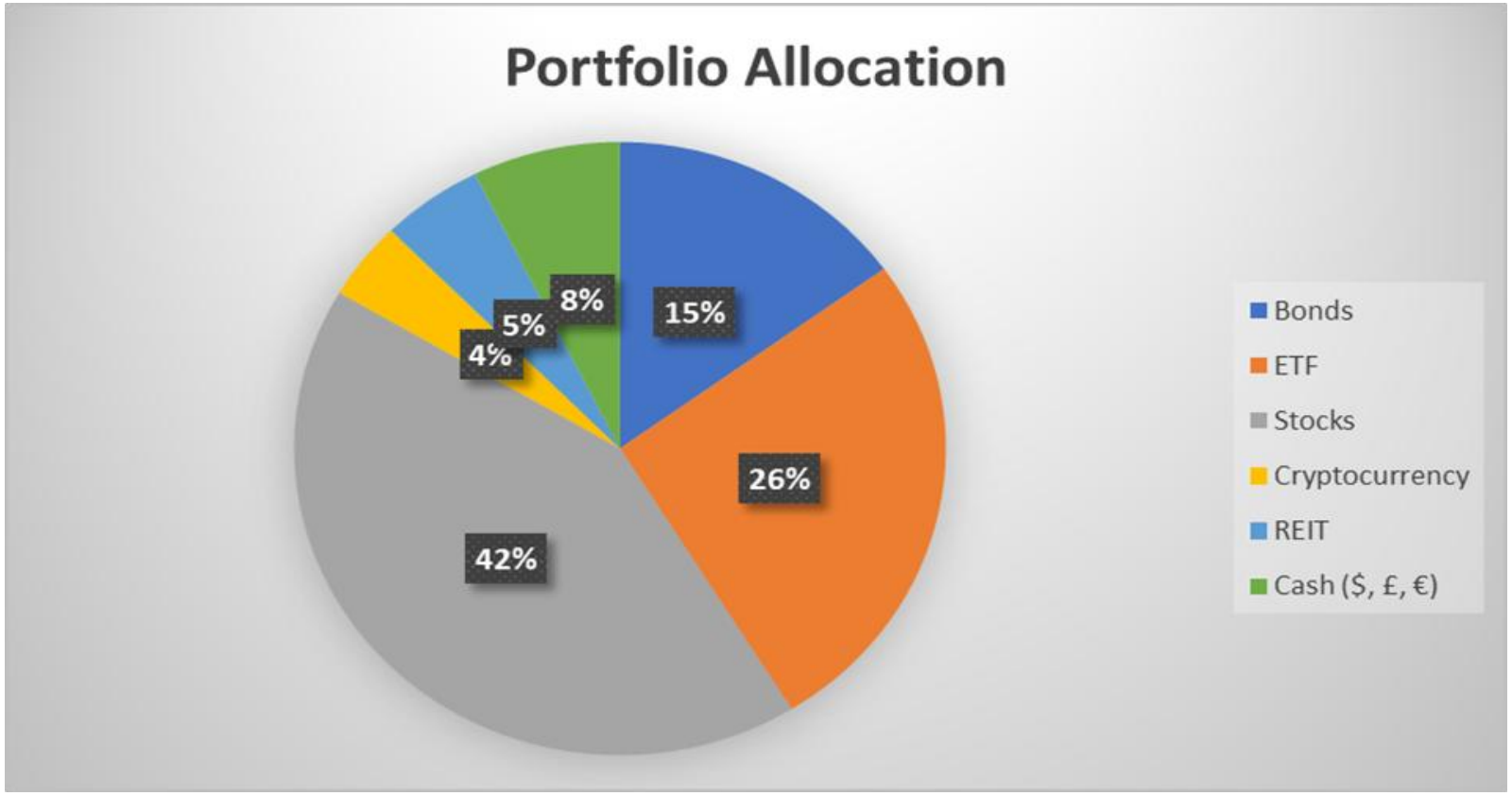
  - VOO, (5%), largest contributor to gains in portfolio, heavily influenced by the constantly booming technology sector. Tech advancements caused GOOGL to gain 9%.

  - NKE, (25%), largest % gain due to the recent shareholder meeting where they put forward their plan to change the business model to adapt and grow, which was met with investor excitement.

  - Energy sector as a whole gained due to oil price rises.

  - BTC, (3%), floated between 100k-110k indicating that long term stability may be possible.

Results – Asset Performance - Winners



Learning experience

- Risk management – Assets that constantly have price changes should be avoided.
- Diversification – Very important in times when the market is volatile, as it maintains stable growth and spreads risk among many sectors and markets.
- Rebalancing – Sharpe Ratio is important in the beginning, but when you begin to be more familiar with your portfolio you can begin to rely on it less. Ensuring low SD and maintaining high ER is important, but you must be able to adapt the portfolio to the market around you.

Thanks for listening!!

Any questions?